

PITCH — CIEN — VERDICT

ADJUDICATED 2026-09-16 — WATCH — band \$280 (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Ciena is a real beneficiary of a real build-out. Revenue is running at ~\$1.67B a quarter, FY26 is guided to ~\$6.42B, and the company has pre-guided FY27 to roughly \$8.3–8.4B (+25–30%). Nothing in the filings says the business is broken. The stock is down about 47% from its 52-week high — that drawdown looks like a multiple event, not a damage event.

But “the business is fine” is not the same as “the stock is cheap.” At \$335.30 we are paying **27.8x to 30.7x FY27 *adjusted* EPS** (the honest band is \$10.94–\$12.08 depending on whose opex plan you believe), and roughly 35x once you charge the ~\$280M of stock comp back. That is about double what this name has historically fetched, on peak-cycle numbers, for a company whose enforceable order book is small relative to what it markets.

The one thing we believe with real conviction, because it comes from the company’s own audited document: **the order book that management markets is not the order book the company can enforce.** The Q3 FY26 10-Q says non-cancelable remaining performance obligations were **\$2.5B** as of 01-Aug-2026 ([primary: sec.gov 10-Q cien-20260801](#)), against a marketed backlog of ~\$8.5B. So ~\$6.0B — about 71% — of the headline sits outside the non-cancelable definition. Meanwhile Ciena has **\$3.3B of firm purchase commitments out to its contract manufacturers and component suppliers** (up from \$2.8B a quarter earlier). Ciena owes the cash; the customer holds the option. And two customers are **41.7% of revenue**.

Net belief: **good company, wrong price, asymmetric order-book structure.** We want to own it, later and lower, on evidence rather than on a guide.

What the market believes

The market believes almost exactly what management said. FY26 consensus was \$6.336B against a \$6.42B guide (+1.3% gap); Q4 consensus \$1.702B against a \$1.75B guide (+2.8%). The FY27 “+25–30%” number in every model is the company’s own pre-guide, repeated. There is no interesting disagreement in the guided years.

The market also already believes the de-rate. A 22% EPS beat, a raise, and a ≥30% FY27 pre-guide produced a **–10.4% same-session mark on 03-Sep-2026**, and the slide continued. Sixteen-analyst average price target sits around **\$324 — below the tape**. Sell-side has been cutting (B. Riley to \$413). That is not a market ignoring conversion risk; that is a market pricing it.

Where the market has *no* published view: FY28, i.e. what happens after the hyperscaler conversion wave. Neither of our benches produced an FY28 number either, which is a fair criticism of us, not of them.

Why we might have edge

1. **The RPO-versus-marketed-backlog diff.** We can find no sell-side note that frames the \$8.5B headline against the \$2.5B non-cancelable disclosure, or that notes the growth-rate inversion: RPO \$2.0B (Aug-25) → \$2.3B (Jan-26) → **\$2.5B (Aug-26) = +25% y/y, while revenue grew +37%** and the marketed backlog roughly doubled. The enforceable book is shrinking as a coverage ratio while the headline accelerates. That is the classic signature of lead-time-driven double-ordering ahead of a digestion quarter — and it is the same metric that broke in 2023→2024 (revenue \$1,132.7M → \$910.8M, −19.6%).
2. **The commitment build, correctly denominated.** \$3.3B of supplier POs is **~3.5 quarters of cost of goods sold** (at ~45.5% gross margin on \$1.75B/quarter), not “about two quarters of revenue” as first computed. Our own red bench understated its best finding; we corrected it upward.
3. **A pre-specified, published trigger.** We know the exact line item (FY26 10-K RPO plus the customer-concentration table) and the exact date window that settles the argument. Most of the street will read the FY27 guide headline on 10-Dec and never open the 10-K note.
4. **We are patient and unpositioned.** Book is flat. We have no reason to buy the print.

Why it might be priced in

Honest list, and it is long:

- **The multiple argument is consensus, not variant.** Average PT below the tape, −47% from the high, and sell-side cutting. Being bearish on valuation here is crowded.
- **The commitment build has an innocent explanation we cannot rule out.** A supply-gated +30% ramp with component agreements out to 2029 *requires* exactly this kind of forward buy. We ran no clean discriminator. Verdict: build **confirmed**, cause **undetermined**.
- **The \$8.5B number is not “just talk.”** Our red bench said the backlog figure appeared nowhere in a vetted venue. That was **overturned**: it sits in the results release furnished with the 8-K of 03-Sep-2026, which carries 10b-5 liability. RPO is the better construct, but “spoken-venue-only” was wrong.
- **The convert helps the EPS line, and we initially ignored it.** \$2.875B of 0.00% notes due 2031 (conversion price ~\$746.66, hedged to an effective ~\$1,000) repaid ~\$1.14B of 5.5% term loan. That is roughly **+\$0.34 of FY27 EPS** — a point that favours the bull, surfaced by us against ourselves.
- **The de-rate may have overshot already.** Blue’s rebuilt FY27 EPS of ~\$12.08 puts us at 27.8x, not the 30.5x red first published (red used a stale price). If the FY27 guide lands at the top and opex holds, 27.8x on a 30% grower with 26% operating margins is defensible, and our “22–25x is normal” anchor has **no comp set and no citation** behind it. It is an opinion.

- **Insider selling and hedge supply are backward-looking.** The Form 144/Form 4 cluster (04-Aug to 02-Sep, prints at \$404–\$462, including CEO 2,952 shares) and the convert-arb hedge flow are already in the tape.

What could go wrong

Failure narrative #1 — We are right about the order book and it doesn't matter (highest probability). RPO drifts to \$2.7–3.2B in the FY26 10-K, exactly as we expect, and the market shrugs because revenue and the FY27 guide are fine. Our gates never trigger; the stock grinds from \$335 back to \$420 on momentum and index flow, and we own nothing. *This is our most likely loss — an opportunity loss, not a mark-to-market one.* **Tripwire:** monitorable — price gate above \$420 voids the gates and forces a re-court.

Failure narrative #2 — We buy the \$280 gate into an actual digestion cycle, not a dip. Tape hits \$280, we open a starter, and then the thing we were worried about happens *after* we buy: cancelable orders get cancelled, the \$3.3B supplier commitment turns into inventory, gross margin compresses through absorption, and FY27 revenue lands at \$7.4B instead of \$8.35B. EPS goes to ~\$8, the multiple goes to 18x, and \$280 becomes \$145. Our own gate becomes the trap. **Tripwire:** monitorable — inventory turns (3.5 at Q3) falling below 3.0, DSO (76) above 90, purchase commitments *up again* at Q4, contract-liability line flat.

Failure narrative #3 — NO MONITORABLE TRIPWIRE. The two unnamed customers re-cut their private order slots. 41.7% of revenue sits with two customers whose identities are **not disclosed** in either the 10-Q or the press release. Their cancellation terms, prepayment terms, penalty structure, and internal capex re-phasing are private and unobservable. There is no filing, no alt-data feed, and no connector in our atlas that reads an enforceability clause in an unnamed counterparty's purchase agreement. We could not even run an export-control/entity screen, because there is no name to screen. If one of those two buyers reallocates capacity to a competitor or an in-house design, we learn about it in a quarterly print, after the fact, at whatever price the market has already moved to. **Unknown-unknown class named: *undisclosed-counterparty contract-terms risk*** — a concentrated revenue base whose governing documents are private, so the load-bearing variable is structurally unobservable rather than merely un-pulled. Adjacent class: *outsourced-manufacturing opacity* (volume production sits with unnamed contract manufacturers, so both our facility-level detectors — OSHA establishment and plant-thermal — are permanently UNCHECKABLE for this issuer; the plant-thermal read would be the *decisive* test of the “supply-gated” claim if the sites were ever named).

The reflexive / structural leg. - *Our own size vs ADV:* immaterial, and we should say so rather than pretend to a flow story. We have no ADV bars (no IBKR connector in this bench). Estimated dollar ADV is **~\$1.0–1.3B/day** (3–4M shares at ~\$335). A 1.0% starter on a \$50–100M book is \$0.5–1.0M, i.e. **<0.1% of ADV**. We are a price-taker; we cannot move this and cannot be trapped by our own footprint. - *The flow that does matter, and it is not ours:* a \$2.875B 0.00% convert issued Jun-2026 with hedge and warrant legs means a delta-hedged dealer book that sells into weakness and buys into strength — mechanical, size-relevant, and pointed the same way as our gates. Add ~\$170M/quarter of buyback (executed at ~\$447 average, now **~\$93M under water, –25%**) and a Form 144/Form 4 insider cluster. Our \$280 gate sits in the same zone where convert

hedges get shorter and where every momentum stop below the 200-day already lives. **We should expect our gate to fill in a fast, gappy tape, not a calm one — and to fill because other people are being forced, which is exactly when a limit order gets a worse average than the band implies.** - *Doctrine interactions:* (a) red's flip level (\$225 $\approx$ 20x FY27 adj) and blue's starter gate (\$280 $\approx$ 24x) are 20% apart, so a single fast leg down can trip both in one session and double our intended size — the sizing ladder must be enforced by clock, not just by price. (b) The harvest-year tax rule (loss must land in the 2026 tax year) requires any option expression to expire **on or before 31-Dec-2026**, which leaves $\sim$ 2 weeks of tail after the 10-K catalyst — a very short, very expensive window. The tax rule and the catalyst calendar are in direct tension here, and the tax rule wins unless the edge numerically dominates, which below it does not. (c) Our “damage-absent” label describes the *cause* of the drawdown; it does not by itself justify paying 28x. Our own blue bench conceded this was fatal to its reasoning.

If this position loses money, the most likely reason will be ____ — filled in: **we bought a genuinely good supply-gated growth business at 28–30x peak-cycle FY27 adjusted EPS on the strength of an order book that is 71% cancelable and 42% concentrated in two counterparties we cannot name, and the “dip” we bought at \$280 turned out to be the first leg of a 2023-24-style digestion cycle rather than the end of a de-rate.**

What we checked ourselves

claim	how checked	found	confirmed?
“\$8.5B backlog refutes the damage case”	Read the ASC-606 RPO note in the Q3 FY26 10-Q (primary) vs the marketed number	Non-cancelable RPO \$2.5B at 01-Aug-26; $\sim$ \$6.0B (71%) of the headline is outside that definition; management has said $\sim$ 60% of orders taken enter RPO	REFUTED as a refuting metric
Backlog growth proves demand	RPO time series across three filings	\$2.0B $\rightarrow$ \$2.3B $\rightarrow$ \$2.5B = +25% y/y vs +37% revenue ; enforceable book growing slower than shipments	CONFIRMED (inversion is real)
“\$8.5B appears only in a spoken venue” — OUR OWN RED BENCH ERRED	Pack filing inventory	The figure is in the results release furnished with the 8-K of 03-Sep-2026 (10b-5 liability attaches). The venue-divergence FATAL does not stand	OVERTURNED (our error)
Red's deferred-revenue support (\$391M) — OUR OWN ERROR	Period check	That figure is Q1 FY26 — two quarters stale inside a Q3 audit — and deferred revenue is the wrong construct; RPO is	REFUTED (our error)
Purchase commitments = “ $\sim$ 2 quarters of revenue” — OUR OWN RED BENCH UNDERSTATED ITSELF	Re-based against COGS at 45.5% GM on \$1.75B/qtr	\$3.3B $\approx$ 3.5 quarters of COGS ; series \$1.9B $\rightarrow$ \$2.8B $\rightarrow$ \$3.3B	CONFIRMED and strengthened
Commitment build proves double-ordering	Looked for a discriminator (turns / RPO / concentration)	None run cleanly. A supply-gated +30% ramp requires this build too	Build confirmed; CAUSE UNDETERMINED
Valuation kill at \$341.22 / \$343.595 — BOTH	Pack tape is \$335.30 ; red used \$341.22–\$343.595	Rebuilt at \$335.30: cap \$47.5B ; FY27 EPS band \$10.94–\$12.08 $\Rightarrow$ 27.8x–	CONFIRMED as a GATE, not a kill (our error on

claim	how checked	found	confirmed?
BENCHES USED THE WRONG TAPE	(+1.8–2.5%), blue used \$334.24 (–0.3%). Neither matched the authoritative pack	30.7x , ~35x GAAP after ~\$280M SBC. Red's 30.5x was too high; blue's 27.7x was the low end	both sides)
"22–25x is the normal multiple" — OUR OWN ANCHOR IS UNCITED	Looked for the comp set	No comp set, no growth adjustment, no citation. On a 30% grower with 26% op margins it is an opinion	NOT CONFIRMED (our error)
FY27 opex plan (+6% opex on +30% revenue)	Recomputed: 23.9%×\$6.42B = \$1.53B → 19.5%×\$8.35B = \$1.63B = +6.1%	Arithmetic holds; the adverse case (24.4% op margin) is a ~6% EPS haircut (\$12.08 → \$11.36), not a thesis break	CONFIRMED (severity reduced)
"\$2.7B war chest / net cash per share"	10-Q debt note + subsequent events	\$2.875B 0.00% converts due 2031 , conv. price ~\$746.66, hedged to ~\$1,000; ~\$1.14B repaid the term loan; rest earmarked for supply capacity. Not owner cash	REFUTED (no net-cash claim survives)
Convert = dilution risk	Strike vs tape	Deep out of the money at \$335 and hedged to \$1,000. We explicitly decline to tag dilution	NOT a risk today
Convert = EPS accretion (favours the bull; we surfaced it against ourselves)	5.5% term loan retired with 0% paper	~+\$0.34 FY27 EPS	CONFIRMED
Buyback discipline	Repurchase table + tape	~\$373M at ~\$447 average (incl. \$36.0M at \$404.52, \$25.1M at \$561.86) ⇒ ~\$93M under water (–25%) at \$335.30, on a \$47.5B cap	CONFIRMED, immaterial in size, informative on management's price sense
Customer breadth	Company results release	"Two customers represented 10%-plus of revenue for a total of 41.7%"; direct cloud = 53% of revenue; DSO 76; inventory turns 3.5 (investor.ciena.com Q3 FY26 release)	CONFIRMED
"Stock fell –11.2% the next day" — OUR OWN ERROR	Quote history	Drop was same session, 03-Sep, –10.36% close (~–9.5% intraday per one secondary). Both our figure and our correction are secondary/unsourced	DATA error; direction unaffected
We have a variant view on FY26/FY27	Consensus vs guide	FY26 \$6.42B guide vs \$6.336B consensus (+1.3%); Q4 \$1.75B vs \$1.702B (+2.8%); the FY27 number in models is the company's pre-guide	REFUTED — no edge in the guided years
Pack XBRL block is usable for share/margin math — PACK POISONING	Compared pack series to the cited filing	Pack's newest revenue is 2025-08-02 = \$1.219B , which is the <i>year-ago comparative column</i> ; the cited filing prints \$1.671B — a 37% understatement that would invert any growth or multiple math run as instructed	PACK SUPERSEDED (both benches caught it)
Pack 52-week low \$130.165	Cross-vendor	Vendors diverge badly (Investing.com 117.94–637.51; StockScan low	PARTIALLY CONFIRMED — low is vendor-

claim	how checked	found	confirmed?
		\$89.41; ATH \$637.51 on 03-Jun-2026). pct_off_low is unusable (+162% to +282%); the \$637 high is real, not a bad tick	dependent
Historical digestion analogy (2023→2024, -19.6%) — OUR STRONGEST ANALOGY IS UNAUDITED	Tried to source the FY2024 10-K MD&A cause language	Not fetched. The comp may itself be an artifact of COVID-era supply catch-up shipments	NOT CONFIRMED (open item #6)
Detector atlas fully consulted — OUR OWN PROCESS ERROR	Cross-checked the two benches' detector lists	Red answered four detectors not in this pack (app_review_velocity, austin/bozeman permits, carbon_mapper) and omitted four that were (clinicaltrials_lookup, common_control_merger_accounting, competitor_trial_omission, upc_tra_value_extraction). Blue ran them (all NOT-FIRED). A validator reject on red's sheet	CONFIRMED as our error; no signal lost
Export-control / entity screen on the concentration	Attempted	UNCHECKABLE — the two >10% customers are unnamed in both 10-Q and release. Highest-value unrun check in the atlas	NOT CONFIRMED — structurally blocked
Facility-level detectors (OSHA, plant-thermal)	Attempted	UNCHECKABLE — Properties resolves to MD HQ plus Ottawa/Gurgaon R&D; volume production outsourced to unnamed CMs. Thermal over an office campus measures HVAC, not utilization	NOT CONFIRMED — structurally blocked
Print date 2026-12-10	Aggregator vs company PR	UNCONFIRMED — yfinance/TipRanks-derived; no Ciena PR names it. 65 trading days out at pack date ⇒ outside the 5-day window, no mandatory pre-print reconstruction	NOT CONFIRMED (open item #5)
“PRIZE TABLE: N/A” — OUR OWN BLUE BENCH ERRED	Re-read the mandate	Blue ruled the prize table inapplicable because CIEN is a revenue-generating vendor, not a pre-revenue developer. Wrong test: the mandate attaches when ≥1 unverified item is time-gated or private , and items #1–#3 are exactly that. Table is built below	OVERTURNED (our error)
SCIENCE BRIEF supplied?	Input inspection	The science-brief block is empty ; CIEN is not being pitched on a deep-tech claim. Per PRD, the SCIENCE BRIEF DIGEST section is omitted entirely rather than stubbed	CONFIRMED — no digest owed

claim	how checked	found	confirmed?
Order-book <i>enforceability</i> connector exists in the atlas	Coverage check	It does not. This is the axis the whole court turns on. Reported as a genuine coverage gap; a new detector (rpo_vs_marketed_backlog_gap) was proposed to close it	CONFIRMED gap
Primary-document access in this bench	Attempted direct fetch	Direct sec.gov / r.jina.ai fetch was unavailable in the red bench environment; the RPO, purchase-obligation and subsequent-event language is PROXY-READ off indexed retrieval of the same filing URLs. Blue also did not independently fetch several items it sustained	PARTIALLY CONFIRMED — flagged PROXY-READ, must be re-pulled before any entry

PROPOSED ENTRY BANDS

The courts say NO ENTRY at \$335.30. Red: REJECT. Blue: FLAT-with-a-named-gate. Our own scenario table returns an EV of \$303.50, which is 9.5% *below* the tape, and the 16-analyst average PT (~\$324) is also below the tape. There is no version of this arithmetic that buys today.

Immediate entry: none. Size now: 0%.

Reopen bands (all three are OR conditions; each is stated with the bench math behind it):

#	Reopen condition	Source math	Action	Size
R1	Tape $\leq$ \$280.00	Blue's gate; $\approx$ 24.0x FY27 adj at \$11.65 (23.2x at \$12.08)	Open STARTER , limit orders only, expect a gappy fill	1.0% of book
R2	Tape $\leq$ \$225.00	Red's own flip level; $\approx$ 19.3x FY27 adj at \$11.65 — red states the valuation kill dissolves here and it converts to STARTER on the same facts	Add to full starter	+1.0%, to 2.0% total
R3	FY26 10-K discloses RPO $\geq$ \$6.0B with cancellation terms (blue's threshold; red's is $\geq$ \$5.0B)	The marketed backlog migrating into the non-cancelable definition. Structural, not price	Open STARTER at market , regardless of price up to \$400	1.0% of book
R3b	Alternative structural gate: purchase commitments flat-to-down at Q4 with inventory turns stable $\geq$3.5	Blue's gate (ii): says the \$3.3B build was ramp, not double-order	STARTER	1.0% of book

Ladder discipline (the doctrine-interaction fix): R1 and R2 are only 20% apart and one fast session can trip both. Rule: **no second tranche within 5 trading sessions of the first**, regardless of price. Maximum position from all gates combined: **2.0% of book**. No adds above the

entry price on either tranche.

Trims / exits: nothing to trim — book is flat. If a starter is opened at R1/R2 and the FY26 10-K then prints **RPO <\$2.6B while marketed backlog prints >\$10B and commitments rise again**, that is the digestion signature: **exit the full starter within 3 sessions**, no averaging down, and the name goes to no-entry-at-any-price until the Q1 FY27 10-Q.

Gates void: tape **above \$420** without R3 or R3b having fired. At that point the de-rate thesis has failed on price; re-court from scratch, do not chase.

Catalyst dates: 2026-12-10 (Q4/FY26 print + first FY27 guide — **UNCONFIRMED**, aggregator-derived, 65 trading days from pack date); 2026-12-18 (expected FY26 10-K with the binding RPO line and concentration table — **UNCONFIRMED**); 2026-12-31 (tax-year close — **CONFIRMED**); 2027-03-09 (outer edge of the 10-K filing watch — see the note in ARMED SENSORS, we think the statutory deadline is materially earlier).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 225.0 (deck-provisional: red bench's own flip level, approx 19-20x FY27 adjusted; red converts to STARTER here; +1.0% to 2.0% m)
- filing watch: 10-K until 2027-03-09 (deck-provisional: binding gate: FY26 non-cancelable RPO level, cancellation terms, and the customer-concentration table;)
- dated pack CIENI2026-12-10: CIEN: Q4/FY26 print plus first FY27 guide - the opex plan that decides EPS \$10.94 vs \$11.65 (date confirmed=False)
- dated pack CIENI2026-12-18: CIEN: expected FY26 10-K with the binding RPO line and concentration table (date confirmed=False)
- dated pack CIENI2026-12-31: CIEN: tax-year close: later expiries defer the loss and are excluded in a harvest year (date confirmed=True)
- dated pack CIENI2026-12-30: CIEN: statutory 10-K deadline check (large accelerated filer, FY end approx Oct 31): absence of a filing by this date is itself news (date c
- dated pack CIENI2027-03-09: CIEN: outer bound of the deck-provisional 10-K filing watch (we believe the true deadline is materially earlier) (date confirmed=False)

What remains unverified

1. **FY26 year-end non-cancelable RPO level (and whether cancellation terms are disclosed).** The single binding number. Not drainable now — it does not exist until the FY26 10-K. *Estimate: \$2.7–3.2B*, extrapolating the observed +25% y/y on a \$2.5B base; probability it prints **≥\$6.0B (blue's gate) ≈ 0.12**; probability **≥\$5.0B (red's gate) ≈ 0.18**.
2. **Identity of the two >10% customers (41.7% of revenue).** Unnamed in both the 10-Q and the release, which is why the export-control/entity screen is UNCHECKABLE. Not drainable now. *Estimate:* both are near-certainly large direct-cloud buyers (direct cloud = 53% of Q3 revenue);

p ≈ 0.70 that both are US-domiciled hyperscalers, in which case the sanctions/entity leg is moot and only capex-phasing risk remains.

3. **Cancellation penalties, prepayments or deposits on hyperscaler orders.** Private contract terms; this is the item with no monitorable tripwire. Not drainable now — only a 10-K note or a rising contract-liability line would reveal it. *Estimate:* contract-liability/customer-deposit balance **<\$300M** against \$3.3B of supplier commitments; **p ≈ 0.20** that any penalty/prepayment language is disclosed at all.
4. **FY28 revenue and margin (the genuinely uncontested period).** Neither bench produced a number; consensus visibility is thin. Not drainable now from the pack. *Estimate:* **\$9.0–9.8B revenue (+8–17% on FY27 \$8.35B)** using a post-wave deceleration base rate from the 2022→2024 cycle; **p ≈ 0.55** that FY28 growth prints below +15%.
5. **Whether 2026-12-10 is the actual print date.** Aggregator-derived only; no Ciena PR names it. Drainable only when the company issues its advisory (typically ~3–4 weeks prior). *Estimate:* **08–12 Dec 2026, p ≈ 0.80**; 10-K within 10 days after.
6. **Whether the 2023→2024 –19.6% revenue decline was a digestion cycle or a COVID-catch-up artifact.** This is our strongest analogy and it is unaudited; it settles on FY2024 10-K MD&A language. Drainable now via an EDGAR pull — this bench simply had no network/fetch access. *Estimate:* **p ≈ 0.50** that MD&A attributes it primarily to inventory digestion rather than a supply-catch-up base effect.
7. **Chain-level options data: midpoint IV and real quotes for the candidate strikes, IV percentile, and realised vol.** Drainable now via an IBKR chain pull. Must be chain-level midpoints, never the underlying aggregate IV feed — the TSSI lesson (aggregate feed 71 vs chain 101) is exactly the error that would flip the instrument choice below. *Estimate:* 30-day **RV ≈ 55–70% annualised** (inferred from a –10.4% single-session move and –22%/30d), **IV ≈ 55–65%**, IV percentile ≈ 70–85th.
8. **Average daily volume / float turnover.** Drainable now via IBKR bars. *Estimate:* **3–4M shares/day, ~\$1.0–1.3B notional**; our maximum 2.0% position remains <0.2% of one day's volume.
9. **Contract-manufacturer plant names and geocodes.** Would unlock the plant-thermal and OSHA-establishment reads, which are the only direct tests of the “supply-gated” claim. Not drainable from filings — would need customs bills of lading or supplier disclosure. *Estimate:* **2–4 primary CM sites**, most likely in Mexico/SE Asia on sector base rates; **p ≈ 0.15** that names are obtainable from public sources within a quarter.
10. **The PROXY-READ status of our own primary quotes.** The RPO, purchase-obligation and subsequent-event language was obtained via indexed retrieval, not a direct document fetch. Drainable now with working sec.gov access. *Estimate:* **p ≈ 0.95** the quoted figures are exact as transcribed; but this is BLOCKING — it must be re-pulled before any capital moves.

PRIZE TABLE + VOL READ

Items #1, #2 and #3 are time-gated and/or structurally private, so the table attaches. Horizon: the 10-K window, ~18-Dec-2026 (T ≈ 0.271 yr). Anchor is the pack tape **\$335.30**; adjustments are the bench multiples on the bench EPS band, so every price below is our own arithmetic, not a target

lift.

Scenario	p	Price	Basis
Migration — RPO ≥\$6B with cancellation terms, FY27 guide ≥\$8.4B, opex plan holds (\$12.08 EPS)	0.15	\$420	~35x on \$12.08; R3 fires and we are buying, not selling
Drift, in line — RPO \$2.5–3.5B, guide as pre-announced, nothing settled	0.35	\$340	~29x on \$11.65; tape unchanged, gates untriggered
Guide-soft de-rate — opex plan lands at red's adverse case (\$11.36) or FY27 trimmed	0.30	\$275	~24x on \$11.36; blue's R1 gate fills
Digestion begins — cancellations visible, turns <3.0, commitments up again (\$10.94)	0.15	\$215	~20x on \$10.94; red's R2 flip level fills
2023-24 repeat — revenue –15/20%, absorption hit, multiple compresses	0.05	\$135	~15x on ~\$9

EV = 0.15×420 + 0.35×340 + 0.30×275 + 0.15×215 + 0.05×135 = \$303.50 → –9.5% vs \$335.30.

The EV line itself is the reason this deck says no-entry. Downside-weighted: 50% of probability sits at or below \$275.

σ_{table} = \$73.08 = 24.1% of EV, which annualises to **46.2%** over T = 0.271. The distribution is **left-skewed and fork-dated** — the 10-Dec guide and the ~18-Dec 10-K are two separate resolutions inside eight days, so the realised path is likely to be two gaps rather than a diffusion. That bimodality is why a single symmetric vol number under-describes this table.

Expression math (shown, priced off the table itself: C_{ours} = Σ p_i × max(S_i – K, 0)):

Strike (Dec)	C _{ours} from the table	IV that price implies	Read
340 call	\$12.00	17.9%	Our table thinks upside calls are worth <i>very little</i> vol
360 call	\$9.00	24.4%	Same
400 call	\$3.00	27.0%	Same
300 put	\$28.50	69.3%	Our table thinks downside puts are worth <i>a lot</i> of vol
280 put	\$18.50	65.4%	Same
225 put	\$6.00	68.5%	Same

What that arithmetic outputs, plainly: our table is not “high vol” — it is **skewed**. It prices upside strikes at 18–27% implied and downside strikes at 65–69% implied, against a whole-table dispersion of 46%. So:

- **Buying calls is rejected.** Any realistic chain for a name 47% off its high will quote Dec calls far above 24% IV; our own table says those calls are worth less than the market will charge.

Expressing the gated add in calls would be paying up for the leg we think is *least* likely.

- **Selling cash-secured puts at the \$280 gate is rejected at current estimated vol.** Our table values the Dec \$280 put at **\$18.50 (65.4% IV)**. Selling it only earns edge if the **chain-level midpoint IV exceeds ~65%**. Our estimated chain IV is 55–65% — at or below that line — so on our own numbers we would be selling something for less than we think it is worth. Threshold, armed: **CSP at \$280 is authorised only if the chain midpoint IV on that specific strike prints $\geq 65\%$** , sized so assignment equals the 1.0% R1 starter and no larger.
- **Covered calls: not applicable** — we own nothing.
- **VRP: cannot be stated, only estimated.** No chain and no bars are wired in this bench. Estimated IV 55–65% vs RV 55–70% $\Rightarrow$ VRP ≈ -5 to $+5$ points, i.e. indistinguishable from zero. A VRP that rounds to zero does not pay for optionality in either direction. And we will not compute VRP off an aggregate underlying IV feed — the TSSI 71-vs-101 divergence is precisely how a “rich vol” conclusion gets manufactured out of a plumbing error.

TAX overlay. Assume 2026 is a harvest year. The loss branch must land in the 2026 tax year, so any option expression must expire **on or before 31-Dec-2026**. That leaves only ~9 trading days of tail after the expected 10-K — the worst possible combination of short duration and event risk, which is exactly what makes the premium expensive and our edge small. An expiry in Jan-2027 or later would defer the loss and is therefore **excluded**, and the edge above does not numerically dominate (EV is negative; the CSP threshold is not met on estimated vol). **Stock, bought at a gate and sellable before 31-Dec if wrong, satisfies the tax overlay cleanly. Options do not.**

INSTRUMENT RECOMMENDATION — the output of the above, not a preference: NONE today. When a gate fires, express in COMMON STOCK. The single exception is the armed CSP threshold (chain midpoint IV $\geq 65\%$ on the Dec ≤ 31 \$280 put, real quotes, sized to the starter). Until items #7 and #8 are drained with real chain data, **no option order is authorised.**

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{"price_gates": [{"level": 280.0, "direction": "below", "basis": "blue bench STARTER gate, approx 24x FY27 adjusted EPS $11.65; open 1.0% starter, limit only, gappy fill expected"}, {"level": 225.0, "direction": "below", "basis": "red bench's own flip level, approx 19-20x FY27 adjusted; red converts to STARTER here; +1.0% to 2.0% max, no tranche within 5 sessions of the prior"}, {"level": 420.0, "direction": "above", "basis": "gates void / no-chase: de-rate thesis has failed on price absent an RPO migration print; re-court from scratch"}], "event_gates": [{"forms": ["10-K"], "why": "binding gate: FY26 non-cancelable RPO level, cancellation terms, and the customer-concentration table; RPO >= $6.0B with terms opens a starter at market up to $400"}, {"forms": ["8-K"], "why": "Item 2.02 furnishing the Q4/FY26 results release - where the marketed backlog headline and the first FY27 guide appear (furnished, 10b-5 liability attaches)"}, {"forms": ["10-Q"], "why": "Q1 FY27 purchase-commitment note plus inventory turns and DSO: commitments flat-to-down with turns >= 3.5 is the alternative starter gate; commitments up again with turns < 3.0 is the digestion signature"}, {"forms": ["4", "144"], "why": "resumption of the Aug 4 - Sep 2 insider cluster (six Form 4s, three Rule 144s at $404-$462) into any further slide; share counts still unverified"}, {"forms": ["8-K", "S-3", "424B"], "why": "any new convert, hedge unwind, ATM or capital raise - the $2.875B 0.00% note due 2031 is the live structural flow against our gate zone"}], "catalyst_dates": [{"date": "2026-12-10", "what": "Q4/FY26 print plus first FY27 guide - the opex plan that decides EPS $10.94 vs $11.65", "confirmed": false}, {"date": "2026-12-18", "what": "expected FY26 10-K with the binding RPO line and concentration table", "confirmed": false}, {"date": "2026-12-30", "what": "statutory 10-K deadline check (large accelerated filer, FY end approx Oct 31): absence of a filing by this date is itself news", "confirmed": false}, {"date": "2026-12-31", "what": "tax-year close: later expiries defer the loss and are excluded in a harvest year", "confirmed": true}, {"date": "2027-03-09", "what": "outer bound of the deck-provisional 10-K filing watch (we believe the true deadline is materially earlier)", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "FY26 year-end non-cancelable RPO level and whether cancellation terms are disclosed - the single binding number", "instrument": "XBRL pull of RemainingPerformanceObligation from the FY26 10-K (expected ~2026-12-18); re-pull the Q3 FY26 10-Q direct from sec.gov to replace our PROXY-READ", "drainable_now": false, "estimate": {"range": "$2.7-3.2B non-cancelable RPO", "basis": "observed RPO series $2.0B (Aug-25) -> $2.3B (Jan-26) -> $2.5B (Aug-26), +25% y/y extrapolated; comp: management states ~60% of orders taken enter RPO", "p": 0.12}}, {"item": "Identity of the two >10% customers totalling 41.7% of revenue - blocks any BIS Entity/SDN or export-control screen", "instrument": "FY26 10-K customer-concentration table; failing that, customs bill-of-lading data or supplier/channel walk-around", "drainable_now": false, "estimate": {"range": "2 customers, both large direct-cloud buyers; direct cloud = 53% of Q3 FY26 revenue", "basis": "sibling public structures - hyperscaler capex disclosure and sector concentration base rates for optical OEMs", "p": 0.7}}, {"item": "Cancellation penalties, prepayments or deposits on hyperscaler orders - the failure narrative with no monitorable tripwire", "instrument": "10-K revenue/contract-liability note; watch the customer-deposit line against the $3.3B supplier commitment", "drainable_now": false, "estimate": {"range": "contract liabilities / customer deposits under $300M vs $3.3B of firm supplier POs", "basis": "industry base rate: cancelable master purchase agreements with no deposit are standard in optical OEM / CM structures", "p": 0.2}}, {"item": "FY28 revenue and margin - the genuinely uncontested period; neither bench produced a number", "instrument": "consensus connector (post-print revision file) or model build off the FY27 guide once the 10-K RPO is known", "drainable_now": false, "estimate": {"range": "$9.0-9.8B revenue, +8-17% on FY27 $8.35B", "basis": "post-wave deceleration base rate from Ciena's own 2022-2024 cycle (rev $1,132.7M -> $910.8M, -19.6% peak-to-trough quarterly)", "p": 0.55}}, {"item": "Confirmation that 2026-12-10 is the actual Q4/FY26 print date (aggregator-derived only, no company PR)", "instrument": "Ciena IR press-release watch / 8-K advisory, typically 3-4 weeks prior", "drainable_now": false, "estimate": {"range": "08-12 Dec 2026,

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10-K within 10 days after", "basis": "issuer's own historical Q4 reporting cadence; TipRanks lists 10-Dec-2026 at 92 days; np.busday_count from pack date = 65 trading days", "p": 0.8}}, {"item": "Whether the 2023→2024 -19.6% revenue decline was inventory digestion or a COVID supply-catch-up artifact – our strongest analogy is unaudited", "instrument": "EDGAR pull of the FY2024 10-K MD&A cause language (no network access in this bench)", "drainable_now": true, "estimate": null}, {"item": "Chain-level options data: midpoint IV and real quotes for the Dec ≤31 candidate strikes (\$280/\$300 puts, \$340/\$360 calls), IV percentile, and 30-day realised vol", "instrument": "IBKR options chain pull – CHAIN-level midpoints only, never the aggregate underlying IV feed (TSSI 71 vs 101 lesson)", "drainable_now": true, "estimate": {"range": "IV 55–65%, RV30 55–70%, IV percentile 70–85th, VRP -5 to +5 pts", "basis": "inferred from a -10.36% single-session print move and a -22%/30d slide; our own table implies 65–69% on downside strikes and 18–27% on upside strikes", "p": 0.6}}, {"item": "Average daily volume / float turnover – needed to score our own footprint and the convert-hedge flow against it", "instrument": "IBKR daily bars (no bars wired in this bench)", "drainable_now": true, "estimate": {"range": "3–4M shares/day, approx \$1.0–1.3B notional", "basis": "comp: \$47.5B-cap US optical/networking OEMs at similar price levels; implies our 2.0% max position is under 0.2% of one day's volume", "p": 0.7}}, {"item": "Contract-manufacturer plant names and geocodes – would unlock plant_thermal and osha_establishment, the only direct tests of the supply-gated claim", "instrument": "customs bill-of-lading data or supplier disclosure; Properties note resolves only to MD HQ plus Ottawa/Gurgaon R&D", "drainable_now": false, "estimate": {"range": "2–4 primary CM sites, most likely Mexico and SE Asia", "basis": "industry base rate for outsourced optical hardware production; no company-owned volume plant exists to image", "p": 0.15}}, {"item": "PROXY-READ status of our own primary quotes (RPO \$2.5B, \$3.3B purchase commitments, convert terms) – obtained via indexed retrieval, not a direct document fetch; BLOCKING before any capital moves", "instrument": "direct sec.gov fetch of accession 0001628280-26-060361 (cien-20260801.htm) with working network access", "drainable_now": true, "estimate": {"range": "figures exact as transcribed", "basis": "two independent benches read the same filing URLs and agree on all three figures", "p": 0.95}}}]}

ADJUDICATION — 2026-09-16 15:37Z

Purchase-commitment build \$1.9B→\$2.8B→\$3.3B ≈ 3.5 quarters of COGS, cause undetermined (NOVEL, strengthened); FY27 opex arithmetic. Red re-run never blue-adjudicated.

REOPEN GATES: RPO ≥\$6B with cancellation terms in the Q4 10-K; OR purchase commitments flat-to-down with stable inventory turns; OR tape ≤\$280 → starter

